

Building Profitable Open Source Business Models



The world is moving towards deploying more open source solutions, but are there any proven business models that can help open source companies sustain themselves? Should new companies venture into the world of open source? This article tries to answer these questions.

Open source software, about a decade back, was looked upon as something solely meant for geeks, programmers and educational institutions. But a few years ago, it started gaining recognition as software that every organisation could leverage. Today, even large proprietary organisations like Microsoft are openly talking about it, and investing in the same as well!

“A lot has happened and evolved in open source. The top view shows it is free. However, even if it is being made freely available, there are billions of dollars riding on the ecosystem. Not only are there open

source companies valued at more than a billion dollars, industry giants like Google and Microsoft are investing millions of dollars in it,” says Mukul Mahajan, MD, Tetra Information Services Pvt Ltd.

Most of these investments focus on hiring manpower for the open source ecosystem. Business models like professional services and cloud hosting are evolving, but the big question is: what are the opportunities available to organisations that aim to, or are already working on, being an open source player? And what are the business models they can pursue for profits?

“I think the key aspect is to have a business model. But here’s the thing — the vast majority of people or organisations who are investing in open source are not investing for the sake of it. I don’t think there is something directly attracting them to invest in open source,” says Hadi Hariri, VP, developer advocacy, JetBrains.

He adds, “They are not investing to make a better world using open source. There are key indicators that force them to use open source, which is good. But they need a sustainable business model, which unfortunately many do not have.”

Cue: Microsoft’s here!

We have all used software developed by Microsoft, and the biggest cue that open source is indeed the future, can be derived from what this organisation is doing on the open source front. But why is Microsoft in open source?

“Satya (Nadella) was very clear when he took over Microsoft that it has to be more open than it ever was. This actually goes back to our core thinking of wanting to do more for every person and organisation, which cannot be achieved by being closed source,” says Sanjeev Sharma, director, new ISV partnerships, Microsoft.

He adds, “Today, 40 per cent of CIOs have Linux as one of their prime strategies, 60 per cent of developers want to see cloud providers working with open source, and 90 per cent of enterprises deploy Linux in some shape and form. This indicates an absolutely clear market decision.”

Sharma feels there are tremendous opportunities around open source, and affirms that Microsoft is committed to staying open in the future. Fifty per cent